

Vaquite Industries, Inc.

MEMORANDUM

To	Audit file
From	Amanda Voxford, Controller
Date	01/30/2026
Re	Allowance for credit losses under ASC 326 - 12/31/2025

1. SCOPE AND POOLING

This memo documents management's estimate of expected credit losses on trade receivables as of 12/31/2025. Receivables share similar risk characteristics within aging bands, so the portfolio is pooled by days past due: current, 1-30, 31-60, 61-90, over-90. Balances are aged from the due date.

2. METHODOLOGY

Expected loss rates are applied to each pool's open exposure. The rates reflect the collection history of each aging band, with older receivables carrying progressively higher expected loss content, and are reviewed annually against subsequent collections, write-offs, and recoveries retained by aging cohort. The prior-year reserve and sensitivity columns below are the annual back-test controls. Receivables with known collection risk carry a specific reserve in place of the pool rate; none were identified this year.

3. LOSS-RATE SUPPORT AS OF 12/31/2025

Aging pool	Exposure	Loss rate	Prior reserve	Reserve	Sensitivity
current	507,568.26	0.00%	0.00	0.00	5,075.68
1-30	183,457.45	5.00%	4,550.83	9,172.87	1,834.57
31-60	83,522.77	20.00%	7,308.72	16,704.55	835.23
61-90	3,585.02	50.00%	5,513.28	1,792.51	35.85
over-90	36,984.64	100.00%	16,969.49	36,984.64	369.85
Total	815,118.14			64,654.57	

Historical cohort calculation retained for the annual back-test:

The supporting allowance workbook retains 15 annual exposure-cohort rows and 24 customer/invoice-level write-off and recovery events, including dates, approval references, and source-ledger references. The table below is their pool-level reconciliation.

Pool	Lookback	Exposure	Write-offs	Recoveries	Net loss	Rate
current	2022-01-01 through 2024-12-31	1,660,000.00	0.00	0.00	0.00	0.00%
1-30	2022-01-01 through 2024-12-31	720,000.00	54,750.00	18,750.00	36,000.00	5.00%

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Pool	Lookback	Exposure	Write-offs	Recoveries	Net loss	Rate
31-60	2022-01-01 through 2024-12-31	450,000.00	165,000.00	75,000.00	90,000.00	20.00%
61-90	2022-01-01 through 2024-12-31	240,000.00	307,500.00	187,500.00	120,000.00	50.00%
over-90	2022-01-01 through 2024-12-31	370,000.00	745,000.00	375,000.00	370,000.00	100.00%

Independent direct-source reperformance:

Pool	Direct source	Exposure	Recomputed	Recorded	Difference	Result
current	Confirmation reference History Ledger 2025 001; Confirmation reference Specific Risk 2025 001; Confirmation reference Economic Overlay 2025	507,568.26	0.00	0.00	0.00	passed
1-30	Confirmation reference History Ledger 2025 002; Confirmation reference Specific Risk 2025 002; Confirmation reference Economic Overlay 2025	183,457.45	9,172.87	9,172.87	0.00	passed
31-60	Confirmation reference History Ledger 2025 003; Confirmation reference Specific Risk 2025 003; Confirmation reference Economic Overlay 2025	83,522.77	16,704.55	16,704.55	0.00	passed
61-90	Confirmation reference History Ledger 2025 004; Confirmation reference Specific Risk 2025 004; Confirmation reference Economic Overlay 2025	3,585.02	1,792.51	1,792.51	0.00	passed
over-90	Confirmation reference History Ledger 2025 005; Confirmation reference Specific Risk 2025 005; Confirmation reference Economic Overlay 2025	36,984.64	36,984.64	36,984.64	0.00	passed

4. FORWARD-LOOKING CONSIDERATIONS

Current-year conditions did not require a qualitative overlay for 2025: industrial-customer concentration, collection cadence, steel-price volatility, and current manufacturing demand affecting the trade receivables base are consistent with the historical period underlying the pool rates, so no adjustment to the historical loss rates was recorded.

5. CONCLUSION

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The recorded allowance equals the pool-level estimate above and is reassessed at each reporting date.

Recorded allowance	64,654.57
Judgmental sensitivity (not a known misstatement)	8,151.19
Known best-estimate difference	0.00

6. SUBSEQUENT-COLLECTION AND SPECIFIC-RISK REVIEW

The following invoice-level back-test matches cash applications through 02/17/2026 to the year-end aging and documents the specific-risk conclusion for each remaining open item.

Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-58389	current	6,851.29	6,851.29	0.00	Collected after year end; no specific reserve
INV-58351	current	8,656.66	8,656.66	0.00	Collected after year end; no specific reserve
INV-58388	current	11,494.83	11,494.83	0.00	Collected after year end; no specific reserve
INV-58406	current	7,912.62	7,912.62	0.00	Collected after year end; no specific reserve
INV-58384	current	6,113.87	6,113.87	0.00	Collected after year end; no specific reserve
INV-58377	current	14,075.04	0.00	14,075.04	Covered by aging-pool reserve; no specific-loss indicator
INV-58344	current	7,059.08	7,059.08	0.00	Collected after year end; no specific reserve
INV-58398	current	18,730.66	18,730.66	0.00	Collected after year end; no specific reserve
INV-58413	current	13,571.60	13,571.60	0.00	Collected after year end; no specific reserve
INV-58352	current	20,121.70	0.00	20,121.70	Covered by aging-pool reserve; no specific-loss indicator
INV-58385	current	12,369.62	12,369.62	0.00	Collected after year end; no specific reserve
INV-58394	current	19,170.50	19,170.50	0.00	Collected after year end; no specific reserve
INV-58368	current	11,647.68	11,647.68	0.00	Collected after year end; no specific reserve
INV-58399	current	18,412.13	18,412.13	0.00	Collected after year end; no specific reserve
INV-58409	current	6,308.76	6,308.76	0.00	Collected after year end; no specific reserve
INV-58345	current	18,109.24	18,109.24	0.00	Collected after year end; no specific reserve
INV-58401	current	7,656.23	7,656.23	0.00	Collected after year end; no specific reserve
INV-58353	current	14,268.78	14,268.78	0.00	Collected after year end; no specific reserve
INV-58376	current	15,401.49	15,401.49	0.00	Collected after year end; no specific reserve
INV-58346	current	11,025.48	11,025.48	0.00	Collected after year end; no specific reserve
INV-58354	current	2,681.67	2,681.67	0.00	Collected after year end; no specific reserve
INV-58402	current	6,136.23	6,136.23	0.00	Collected after year end; no specific reserve
INV-58403	current	21,298.46	21,298.46	0.00	Collected after year end; no specific reserve

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Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-58414	current	2,288.53	0.00	2,288.53	Covered by aging-pool reserve; no specific-loss indicator
INV-58407	current	14,652.36	14,652.36	0.00	Collected after year end; no specific reserve
INV-58411	current	10,111.82	10,111.82	0.00	Collected after year end; no specific reserve
INV-58369	current	4,127.09	4,127.09	0.00	Collected after year end; no specific reserve
INV-58417	current	21,467.12	21,467.12	0.00	Collected after year end; no specific reserve
INV-58390	current	6,481.62	6,481.62	0.00	Collected after year end; no specific reserve
INV-58355	current	14,005.46	14,005.46	0.00	Collected after year end; no specific reserve
INV-58396	current	18,740.53	18,740.53	0.00	Collected after year end; no specific reserve
INV-58361	current	17,163.28	17,163.28	0.00	Collected after year end; no specific reserve
INV-58391	current	6,068.20	0.00	6,068.20	Covered by aging-pool reserve; no specific-loss indicator
INV-58383	current	2,234.61	2,234.61	0.00	Collected after year end; no specific reserve
INV-58381	current	18,232.87	18,232.87	0.00	Collected after year end; no specific reserve
INV-58408	current	7,883.36	7,883.36	0.00	Collected after year end; no specific reserve
INV-58378	current	2,694.54	2,694.54	0.00	Collected after year end; no specific reserve
INV-58382	current	3,950.40	0.00	3,950.40	Covered by aging-pool reserve; no specific-loss indicator
INV-58404	current	12,797.94	12,797.94	0.00	Collected after year end; no specific reserve
INV-58418	current	17,169.15	17,169.15	0.00	Collected after year end; no specific reserve
INV-58405	current	11,750.78	11,750.78	0.00	Collected after year end; no specific reserve
INV-58347	current	5,035.93	0.00	5,035.93	Covered by aging-pool reserve; no specific-loss indicator
INV-58397	current	157.36	0.00	157.36	Covered by aging-pool reserve; no specific-loss indicator
INV-58307	1-30	17,504.16	0.00	17,504.16	Covered by aging-pool reserve; no specific-loss indicator
INV-58270	1-30	21,609.89	21,609.89	0.00	Collected after year end; no specific reserve
INV-58295	current	7,890.12	7,890.12	0.00	Collected after year end; no specific reserve
INV-58277	1-30	9,921.27	0.00	9,921.27	Covered by aging-pool reserve; no specific-loss indicator
INV-58338	1-30	19,305.27	19,305.27	0.00	Collected after year end; no specific reserve

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Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-58287	current	13,256.69	0.00	13,256.69	Covered by aging-pool reserve; no specific-loss indicator
INV-58339	1-30	9,665.18	9,665.18	0.00	Collected after year end; no specific reserve
INV-58280	1-30	12,171.10	0.00	12,171.10	Covered by aging-pool reserve; no specific-loss indicator
INV-58286	1-30	19,183.21	0.00	19,183.21	Covered by aging-pool reserve; no specific-loss indicator
INV-58296	1-30	20,042.79	20,042.79	0.00	Collected after year end; no specific reserve
INV-58297	1-30	3,767.07	3,767.07	0.00	Collected after year end; no specific reserve
INV-58319	1-30	4,188.96	4,188.96	0.00	Collected after year end; no specific reserve
INV-58379	current	10,334.88	0.00	10,334.88	Covered by aging-pool reserve; no specific-loss indicator
INV-58253	1-30	19,532.37	0.00	19,532.37	Covered by aging-pool reserve; no specific-loss indicator
INV-58340	1-30	9,995.84	9,995.84	0.00	Collected after year end; no specific reserve
INV-58214	31-60	14,380.06	14,380.06	0.00	Collected after year end; no specific reserve
INV-58243	31-60	13,522.29	13,522.29	0.00	Collected after year end; no specific reserve
INV-58206	31-60	12,657.54	12,657.54	0.00	Collected after year end; no specific reserve
INV-58241	31-60	6,403.61	6,403.61	0.00	Collected after year end; no specific reserve
INV-58268	31-60	10,871.38	10,871.38	0.00	Collected after year end; no specific reserve
INV-58223	1-30	16,570.34	16,570.34	0.00	Collected after year end; no specific reserve
INV-58258	31-60	5,240.75	0.00	5,240.75	Covered by aging-pool reserve; no specific-loss indicator
INV-58231	31-60	20,447.14	20,447.14	0.00	Collected after year end; no specific reserve
INV-58194	61-90	3,585.02	0.00	3,585.02	Covered by aging-pool reserve; no specific-loss indicator
INV-58128	over-90	17,038.12	17,038.12	0.00	Collected after year end; no specific reserve
INV-57841	over-90	4,986.63	4,986.63	0.00	Collected after year end; no specific reserve
INV-57825	over-90	4,986.63	0.00	4,986.63	Open-item aging and sponsor payment history reviewed; pool reserve retained, with no additional specific-loss indicator
INV-57843	over-90	4,986.63	4,986.63	0.00	Collected after year end; no specific reserve

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Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-57852	over-90	4,986.63	4,986.63	0.00	Collected after year end; no specific reserve

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